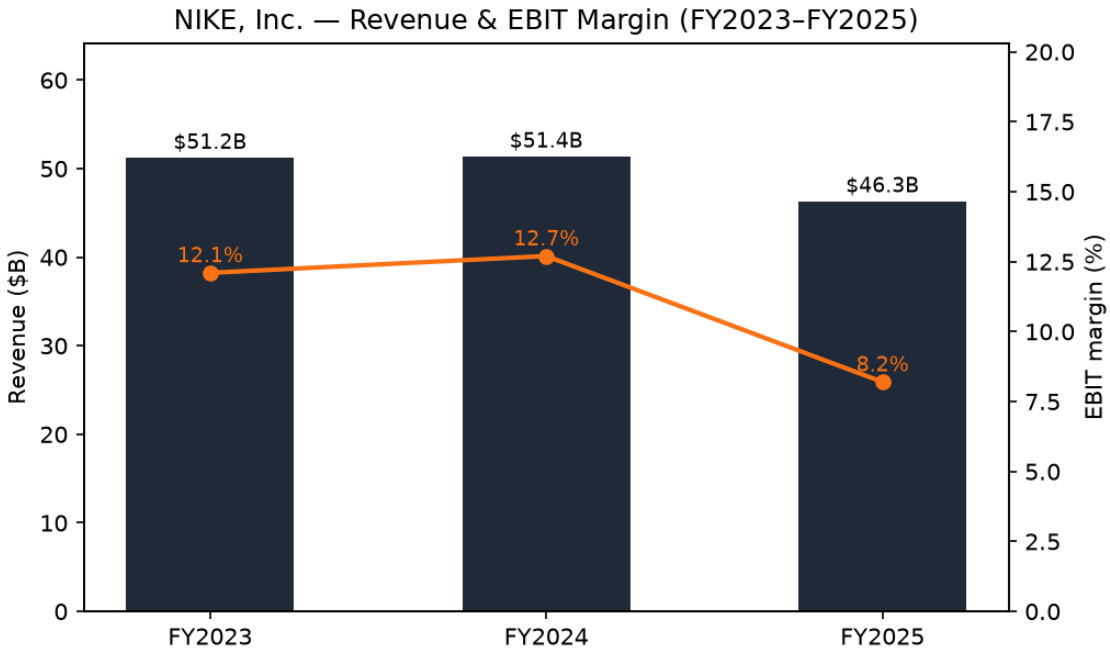
NIKE, Inc. (NKE)

Equity Research & Valuation Report

Metric	Value
Current Price	$35.75
As-of Date	2026-09-28
DCF Implied Price	$38.25
Comps (EV/EBITDA) Implied Price	$21.49
Comps (P/E) Implied Price	$33.71

1. Financial Overview

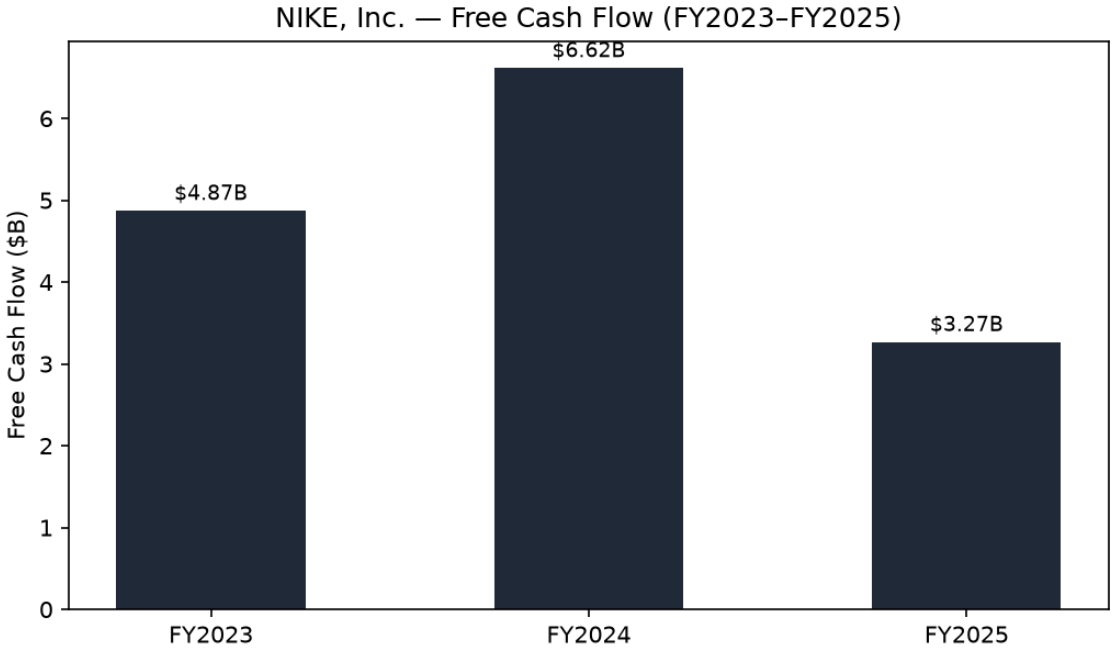
NIKE, Inc.'s revenue declined 9.6% from FY2023 ($51,217M) to FY2025 ($46,309M). Over the same period, EBIT margin compressed 3.9 points, from 12.1% to 8.2%.



Fiscal Year	Revenue ($M)	EBIT Margin	EBITDA Margin	Net Margin
FY2023	$51,217	12.1%	13.5%	9.9%
FY2024	$51,362	12.7%	14.3%	11.1%
FY2025	$46,309	8.2%	9.8%	7.0%

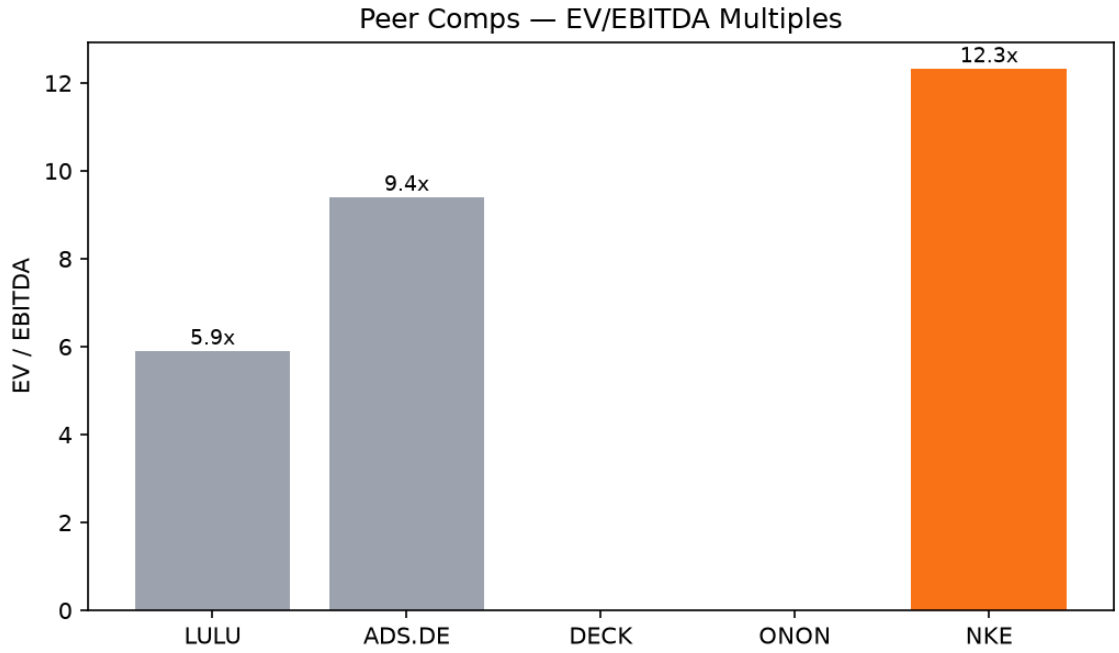
ROIC (FY2025): 18.1% | **Net Debt / EBITDA:** 0.30x | **Total Debt / EBITDA:** 2.31x

Free Cash Flow



2. Comparable Company Analysis

Ticker	Mkt Cap ($M)	Revenue ($M)	P/E	EV/EBITDA
LULU	$14,000	$11,200	10.1x	5.9x
ADS.DE	$30,300	$29,000	n/a	9.4x
DECK	$14,560	$5,472	n/a	n/a
ONON	$9,300	n/a	22.0x	n/a
NKE	$53,040	$46,309	17.0x	12.3x

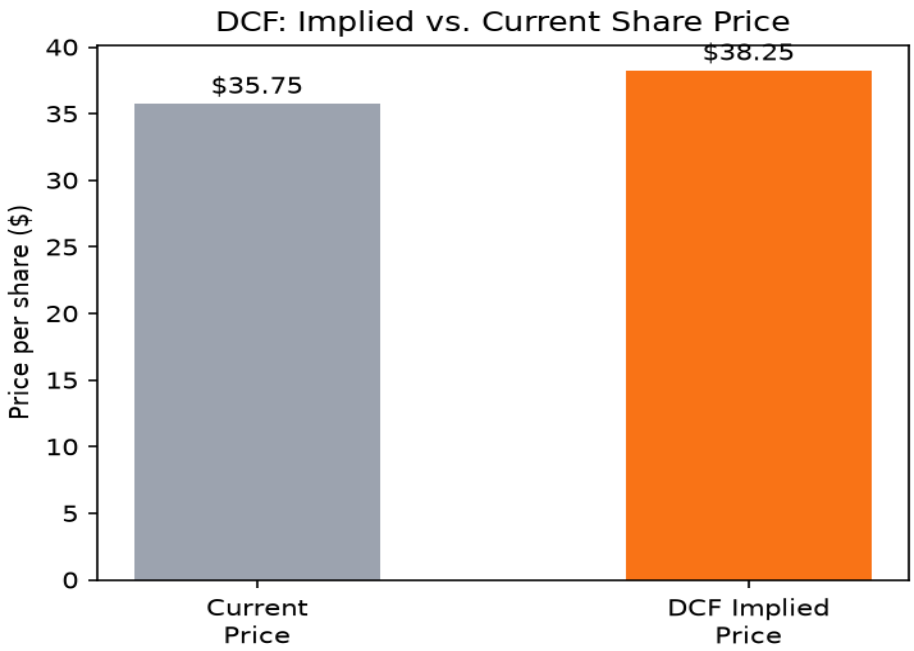


NKE is benchmarked against public peers in the same sector: LULU, ADS.DE, DECK, and ONON. Applying the peer-average EV/EBITDA multiple (7.7x) to NKE's latest-year EBITDA implies a share price of $21.49 — below the current price of $35.75, since NKE trades at a premium to peers (12.3x vs. 7.7x). The peer-average P/E (16.1x) applied to trailing EPS implies $33.71, below the current price — the gap between the two approaches is itself worth interrogating: EBITDA and EPS multiples can point in different directions when leverage, D&A, or one-off items move between the two.

3. Discounted Cash Flow Valuation

WACC Build-Up	Value
Cost of Equity (CAPM)	9.70%
After-tax Cost of Debt	3.90%
Weight of Equity	83.5%
Weight of Debt	16.5%
WACC	8.74%

Enterprise Value = PV(explicit FCFs) + PV(Terminal Value). Using a base-year FCF of $3,268M, a WACC of 8.74%, and a terminal growth rate of 2.5%, the model implies an enterprise value of $59,629M and an equity value of $56,577M ($38.25 per share). *Growth assumption:* Post-trough recovery thesis: FY2025 was a trough year (Win Now reset); this models a gradual margin/FCF recovery over 5 years rather than extrapolating the FY2025 decline forward.



Sensitivity: Implied Share Price (WACC x Terminal Growth)

WACC \ g	1.5%	2.0%	2.5%	3.0%	3.5%
7.74%	$39.66	$42.58	$46.06	$50.27	$55.47
8.24%	$36.51	$38.95	$41.82	$45.23	$49.36
8.74%	$33.79	$35.86	$38.26	$41.07	$44.42
9.24%	$31.43	$33.20	$35.22	$37.58	$40.34
9.74%	$29.35	$30.88	$32.61	$34.60	$36.92

4. Summary

Across the three approaches, implied value ranges from $21.49 to $38.25 per share — a spread of 78%. DCF implies upside to the $35.75 current price; Comps (EV/EBITDA), Comps (P/E) imply the stock is fairly valued or overvalued today. That spread — not any single number — is the actual investment debate: each method leans on a different assumption (a growth/discount-rate thesis for the DCF, a peer set for comps), and defending which one you trust most is the real analytical work.

This report was built as an independent educational/portfolio project using public SEC filings and market data aggregators. It is not investment research and should not be relied upon for investment decisions. All models and assumptions are documented in the accompanying source code.